Income Tax Authorities; leaked the company information to Media and openly [came] out against the Board and the Trusts, which hardly augurs well for smooth functioning of the company'.

The NCLT also turned down a plea requesting for 'proportional representation on Board proportionate to the shareholding of the petitioners', as the same was not mandated by the Companies Act. The allegation that Ratan and Soonawala giving advice amounted to 'interference' 'prejudicial to the interest of the company', or that they acted as 'shadow directors', also did not carry conviction with the tribunal.

It did not find merit in Mistry's allegations against the management either. It said that the 'the management is rather more accountable to the shareholders under the present regime'. On the whole, the bench found no reason to interfere in the actions taken by Tata Sons against Mistry; rather, it saw reason and merit in Tata Sons' actions.

The judgment brought immediate relief to Ratan. In a statement to PTI, he said: 'The judgement of the NCLT is a vindication of the actions that Tata Sons felt obliged to take in October 2016.'

A Surprising Outcome

Mistry, however, appealed against this order in the National Company Law Appellate Tribunal (NCLAT) in August 2018. More than a year later, on 18 December 2019, in a stunning reversal, the appellate tribunal handed Mistry all that he had asked for and more.

Ratan was greatly aggrieved. On the third day after the judgment, a Sunday, I met him at his home. I had not ever seen him as anguished as he was on that day. In a heavy voice, he told me how disappointed he was with the verdict. He said that his only goal had been to preserve the system that ensures a continuous flow of benefits to the society from the fortunes his forefathers had committed to philanthropy.

Ratan was not alone in finding the appellate body's decision to be unusual. What surprised people most was that it had ordered Mistry's reinstatement as chairman, Tata Sons, even though Mistry had not prayed for this, as his counsel later submitted before the Supreme Court.

The order also implied that Mistry could continue as chairman for two and a half years, even after the expiry of his contract. It simultaneously declared N. Chandrasekaran's appointment as chairman, Tata Sons, illegal.